

DENMARK 2016

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1. Overview of the tax-benefit system

Denmark's unemployment insurance system is voluntary, with around 90 per cent of the workforce covered. The amount of benefit is related to previous earnings subject to a relatively low ceiling. There is no unemployment assistance. Social assistance is administered by local authorities and benefit amounts are determined by national guidelines. Social assistance is means tested and contingent on there having been a "social event". Unemployment is such an event, but social assistance is not normally paid to those in work. Housing costs and the number of children are taken into account when calculating social assistance and there is also an income-related housing benefit system. Child benefits are lump-sum amounts depending on the number and age of children and on the number of adults. Subsidised child-care is available to all households. The tax unit is the individual. Social security contributions by employees and, especially, employers are low.

1.1. Average Worker wage (AW)

The national currency is the Kroner (DKK). In 2016, the average worker earned DKK 412 555 (Secretariat estimate).

2. Unemployment insurance

Unemployment insurance is voluntary. The general condition to receive unemployment benefits is membership of an insurance fund for a year. Unemployment insurance includes both employees and self-employed. There are particular rules for self-employed relating to both calculations of benefits and employment conditions. Below we only describe the legislation for employees.

A person can receive unemployment benefits until he reaches his retirement age presently 65 years.

2.1 Conditions for receipt

The unemployed person must be registered with the public employment service as a job seeker and be available for work.

Another element is that the insurance funds must interview each unemployed member every 3rd month in order to control that members receiving unemployment benefits are available for the labour market.

Unemployed members have to register once a week at 'Jobnet' (online) to confirm they are still unemployed and available for the labour market.

If the job loss is 'voluntary' the person will not receive unemployment insurance benefits for the first 3 weeks.

2.1.1 Employment conditions

After 1 924 hours of full-time work within the last three years, the employee is entitled to benefit immediately on becoming unemployed.

2.1.2 *Contribution conditions*

The conditions are satisfied with payment of the membership fee.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

The benefit amounts to 90 per cent of previous earnings after deducting 8 per cent social security contributions from those earnings. The maximum yearly benefit is DKK 217 360 (DKK 4 180 per week). The minimum yearly benefit is DKK 178 360 (DKK 3 430 per week).

2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Wages reduce the amount of unemployment benefits (one hour of work reduces the benefit by the value of one hour).

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment benefits and cash assistance fall under the temporary income relief scheme and are normally taxable. The earnings related contributions are only paid over earned income. Recipients of unemployment benefits do not pay the 8 per cent social security contribution but do pay supplementary pension scheme contributions (fixed amount). Contributions to the unemployment insurance fund (both the unemployment and early retirement insurance contributions) are also made by unemployment insurance beneficiaries.

2.4 *Benefit duration and waiting periods*

The benefit period is 2 years within 3 years. Educational programs do not qualify for extending the period. To re-qualify for benefits, there is a minimum of 1 924 hours of paid employment within the duration of 3 years.

2.5 *Supplementary benefits*

A member who is working reduced hours may receive supplementary benefits for a limited period if the employer waives any notice of termination. Supplementary benefits are paid on the basis of the member's individual rate of unemployment benefits. A person who is working part-time on a permanent basis may receive supplementary benefits for 30 weeks within a period of 104 weeks. It is also possible to receive supplementary benefits in connection with temporary lay-offs due to bad weather or lack of materials, unless the employer has a duty to pay a special benefit compensation.

No benefits are paid in respect of an unemployment period of less than 7,4 hours per week.

2.6 *Treatment of particular groups*

2.6.1 *Young persons*

For graduates who have joined the unemployment insurance funds immediately after graduating the unemployment benefit amounts to 82 per cent of the maximum unemployment benefit i.e. DKK 3 430 per week (DKK 178 360 per year).

The unemployment benefit for younger persons (under 25) without sufficient education for the “graduate” rights amounts to 50% of the maximum unemployment benefit, per week DKK 2 090 (DKK 108 680 per year)

2.6.2 *Older workers*

Members of an unemployment insurance fund those who have reached the age of early retirement (currently 60 years) and as a main rule have been members of an unemployment insurance fund for 30 years and who have paid contributions for voluntary early retirement in a corresponding period are entitled to voluntary early retirement pay until they reach the retirement age (currently 65 years). The early retirement pay is paid at an individually calculated rate, see section 2.2.1 but for a maximum of 91 per cent of the maximum unemployment benefits which corresponds to DKK 3 805 per week (DKK 197 860 per year) if they go into voluntary early retirement as soon as they reach the age of early retirement (currently the age of 60). If the transition into voluntary early retirement is put off for a minimum of 2 years and if the member in this period has worked for a minimum of 3,120 hours the voluntary early retirement pay is paid at the rate of 100 per cent of the maximum unemployment benefits, see section 2.2.1 corresponding to DKK 4 180 per week (DKK 217 360 per year). Members in early retirement do not have a duty to be available for work. But they may work for an unlimited number of hours with an hour-to-hour deduction.

2.6.3 *Temporary benefit for unemployed persons with a permanently reduced capacity to work, who have been admitted to the so called “flexible-job” scheme.*

A flexible job is exclusively offered to persons with a permanently reduced capacity to work, who have exhausted all possible offers of rehabilitative training without gaining reentry to the ordinary labour market. In the event of unemployment a temporary benefit (“ledighedsydelse”) is paid by the municipality until another flexible job is offered. The flexible job scheme and the “ledighedsydelse” are administered by the municipalities. It is not a requirement for the person to be a member of an unemployment insurance fund. A special early retirement scheme also exists for persons admitted to the flexible job scheme.

3. **Unemployment assistance**

There is no unemployment assistance in Denmark (see social assistance below).

4. Social assistance

Payment rates are depending on the ages, so that people between 18 and 29 years old receive less than people who are 30 years or more.

4.1 Conditions for receipt

A “social event”, such as unemployment, must have taken place; a low income is not in itself a social event. If social assistance is being received due to unemployment, job search will be enforced.

The Danish system is for both people who are ready for the labour market and people who have other problems than unemployment. For people who are ready for the labour market job-search is a condition for becoming (and remaining) entitled to the benefit. The other group has to satisfy other conditions such as sickness treatment and/or activation to be entitled.

Social assistance is the lowest security net in the Danish system, but low income as such is not a condition for becoming entitled to social cash benefits. It is possible to “top-up” low unemployment benefits, but normally people who are entitled to unemployment benefit do not satisfy the conditions for receiving cash benefit (i.e. cash benefit is depending on savings and spouse income and savings) and normally the unemployment benefit is higher than cash benefit.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

For single people the benefits are calculated for the individual. The benefit amounts to DKK 14 575 which approximately corresponds to 80% of the maximum unemployment insurance benefit for those with dependent children and DKK 10 968 for others which approximately corresponds to 60% of the maximum unemployment insurance benefit. For married couples the benefits are based on the income and savings of both spouses. A married couple with children may get two times DKK 14 575 subtracted any income the couple earn.

4.2.1.1 Irregular additional payments

The municipal authority may provide assistance towards reasonable individual expenses incurred by a person due to a change of circumstances if the payment of such expenses by the person concerned would seriously reduce the possibilities of that person and his/her family of providing for themselves in the future. Normally assistance shall only be granted if the expense has arisen as a result of unforeseeable needs. Provided always that, having considered the individual circumstances of each case, the municipal authority may exceptionally cover foreseeable expenses where the payment of such expenses is of vital importance to the status of the person concerned or his/her family.

The municipal authority may provide assistance towards any health care expenses, medicine, dental treatment, etc., which are not covered under any other legislation if the claimant is financially incapable of paying such expenses. Assistance shall only be granted if the treatment is necessary and reasonable on health grounds. Only exceptionally will assistance be provided towards health care. The municipal authority may provide assistance towards expenses incurred in connection with the claimant's exercise of access rights to his/her own children under 18 who are not living with the claimant. It is a condition of assistance being provided hereunder that the claimant is financially incapable of paying the said expenses.

The municipal authority may provide assistance towards travel costs for the purpose of maintaining contact with children who have been removed to another country without the consent of the custodial parent. It is a

condition that the matter has been reported to the Danish police, and that the municipal authority has presented the case to the Ministry of Foreign Affairs. It is also a condition that the custodial parent is financially incapable of paying the said costs.

The municipal authority may provide assistance towards the expenses of maintaining a child where upon the death of the custodial parent custody has been awarded to one or more persons who are not subject to a duty to maintain the child. It is a condition that the child's income, including special child benefits under the Act on Child Benefits Act and advance payment of child maintenance, is not sufficient to cover the necessary expenses for maintaining the child.

The municipal authority may provide assistance for any relocation for the purpose of improving the housing or employment situation of the claimant or his/her family. It is a condition that neither the claimant nor his/her spouse is financially capable of paying the expenses.

If the claimant is moving to another country, it is a condition of assistance being provided by the municipal authority that the claimant is a national of or has a particular connection to the country in question, or that the claimant has been secured permanent employment opportunities in the said country.

Upon application the municipal authority shall pay a survivor's allowance to any person whose husband/wife or cohabiting partner has died.

Payment of the allowance shall be subject to the surviving dependant having cohabited with the deceased at a joint address in Denmark for the last three years immediately preceding the death.

The maximum amount of the allowance is DKK 14 268, and it shall be payable to any dependent survivor whose estimated annual income does not exceed DKK 234 895. If the estimated annual income exceeds the amount set out in the first sentence hereof, the allowance will be reduced, and if the estimated annual income exceeds DKK 367 020, no survivor's allowance shall be payable.

The calculation of the estimated annual income shall include the survivor's estimated personal annual income, including any amounts devolving on the survivor as a result of the death. In addition, any property or property rights of the survivor exceeding DKK 146 806 including any property rights vesting as a result of the death shall be included. Where there is no administration of the estate, any property and property rights belonging to the deceased and his/her surviving spouse exceeding DKK 146 806 will be included. The amounts to be calculated according to the second and third sentences hereof shall be included at 30%.

The allowance will be paid as soon as possible following the date of application.

Where there are indications that the estimated annual income of the surviving dependant can only be established with considerable uncertainty, the dependant's allowance will be payable by an amount on account.

In the case of persons who are subject to the rules set out in the Act on Payment of Property Taxes, the difference between the amount of survivor's allowance hereof and a calculation whereby the allowance is calculated subject to deductions of any property and property rights consisting of immovable property and serving as the survivor's dwelling may be granted by way of a loan subject to prior application. Any such loan will be granted subject to the rules provided for by the Act on Loans Granted for the purpose of Payment of Property Taxes.

To the extent that it follows from Council Regulation No. 1408/71 of 14 June 1971 and the associated EEA Agreement, the provisions on survivor's allowance shall be dispensed with in respect of any persons covered by Danish social security legislation under this Regulation and the EEA Agreement.

The Minister for Social Affairs shall lay down rules governing the definition of recipients, calculation of income and property, adjustment and subsequent of the allowance, including rules governing procedures in connection with the granting of loans, hereof. In addition, the Minister for Social Affairs shall lay down rules governing the decision-making powers, etc., for persons covered by Council Regulation No. 1408/71 of 14 June 1971 and the associated EEA Agreement.

4.2.1.2 *Obligations of family members*

As mentioned social assistance is family based, so the obligation to be available for the labour market/activation for the applicant is the same for any spouse, but not for any children.

If a spouse refuses to satisfy the conditions for getting social assistance, none of the spouses can get social assistance.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

If the applicant or his or her spouse has income from work a sum of DKK 26,25 per hour worked shall not be deducted from the total benefits payable. The total number of hours for which the said amount may be ignored shall not exceed 160 hours per month per person.

4.3 *Tax treatment of benefit and interaction with other benefits*

Recipients of social assistance (SA) pay income tax. They do not pay the 8 per cent social security contribution but do pay the supplementary pension scheme contributions if they have received social assistance for an uninterrupted period of six months.

4.4 *Benefit duration and waiting periods*

No limit.

There is a waiting period of 7 years if you arrive from abroad. In the waiting period the applicant can get starting allowance.

4.5 *Treatment of particular group*

4.5.1 *Young people*

Social assistance for people under the age of 25 who do not reside with one or both parents the benefit is DKK 6 767. It is DKK 3 265 for people under 25 who are residing with one or both parents.

For recipients under 25 years the assistance is reduced after 6 month so that the social assistance is reduced from DKK 6 767 to DKK 5 753 when the recipient has been activated and has received social assistance for 6 month. The aforesaid amount DKK 3 265 correspondingly is reduced to DKK 2 860 for recipients under 25 who are residing with one or both parents.

4.5.2 *Calculation of gross benefits - special housing benefits for people receiving social assistance (Særlig støtte)*

This support is a special branch of support that may be granted to persons who have been subject to a change of their conditions - a "social event" such as unemployment - if the person is in a particularly

difficult situation due to high housing costs or high levels of dependency. The support is granted separately or as a supplement to persons that fulfill the conditions to receive social assistance (as described above) after the Active social policy act. (Lov om aktiv socialpolitik §§ 22-25).

For families without children, net rent (gross rent minus general housing benefits) exceeding DKK 2.900 per month is paid. For families with children, all net rent above DKK 4.100 per month per adult is paid (DKK 4.200 if the child is not living at home), reduced by DKK 800 for each child (DKK 600 if the child is not living at the home) other than the first. The total amount of social assistance after tax and special housing benefits is subject to one of two maxima, depending either on previous income or the maximum unemployment benefit. The first three months the maximum is previous income after tax. After three months the total amount can never exceed maximum unemployment benefit after tax.

If the sum of special housing benefits and the person's other income after tax, total social assistance may not exceed 90% of previous net earnings. When cash benefits have been paid to a person for an uninterrupted period of three months, the sum of special housing benefits and the person's other income after tax must not exceed the amount of maximum unemployment benefit payable under the act on unemployment insurance.

4.5.4 *Older workers*

There are no rules for older workers in this scheme.

4.5.5 *Others if applicable*

No special schemes.

5. Housing benefits for rented accommodation

5.1 Conditions for receipt

Housing benefits in Denmark are granted on an individual household basis. There are in principle two different sets of rules. Originally “boligsikring” was introduced in the late 1960’s and included a 60% initial benefit of paid rent for all types of income receivers. Later in 1979 a considerable more favourable “boligyldelse” was introduced with a 75% benefit calculated on the rent.

Both benefits involves rather complicated calculations that includes a normalized rent, house size, level of household income etc., and the two schemes have their own parameters of calculation.

Today the first scheme “boligsikring” is primarily aimed at households without persons receiving age pensions. The second scheme “boligyldelse” is only for recipients of old age pension or disability pensions (granted before 2003). The latter of these schemes is considerably more expensive and dominantly paid to elderly people (75-80 and older) who receive a larger part of public age pension and live as singles.

5.2 Calculation of benefits

5.2.1 Calculation of gross benefits — general housing benefits

General terms:

The actual paid rent excl. consumption of electricity, antenna, gas and warm water is the basis for housing benefits. The rent is corrected for the indicative size of the apartment expressed in square meters. The correction factor is the sum of 45 m² plus 20 m² per household member divided by the actual m². A couple can therefor receive full subsidy up to 85 m². Furthermore the corrected rent will - if it exceeds certain limits depending on family size - be reduced to a maximum allowed (subsidized) level.

Thresholds and parameters in calculation of housing benefits (in DKK), 2016

Scheme	% benefits of rent	Threshold	% above	Threshold raised per child (2-4)	Maximum benefit	Minimum own payment
Boligsikring	60	142 500	18	37 500	42 180	24 000
Boligyldelse	75	153 600	22½	40 500	45 480	16 200 ¹⁾

¹⁾ But never less than 11% of total household income.

Walkthrough the calculations of “boligsikring”

In this scheme, maximum subsidized rent is DKK 79900 for households without children and if there are children the maximum is increased by 5% per child, max 20 per cent.

General housing benefits – rent subsidy (boligsikring) (in DKK), 2016

Number of children	0	1	2	3	4 or more
Max. subsidized rent per year	79 900	83 895	87 890	91 885	95 880
Max. benefit per year ¹⁾	42 180	42 180	42 180	42 180	52 725

1) Benefits can’t exceed 15% of the rent in families without pensioners or children.

For households in the “boligsikring” scheme the subsidy is calculated as 60% of the rent. There is an income dependable deduction by 18% of the household income beyond DKK 142 500. However as a special case for household with no kids or pensioners the housing benefits cannot exceed 15% of the rent.

For households with children the rent subsidy is also calculated as 60% of the rent and then reduced by 18% of the household income beyond DKK 142 500. If there is more than one child in the household, this threshold is raised by DKK 37 500 per child up to max DKK 255 000.

Households in this scheme can receive housing benefits up till DKK 42 180. If there are more than three children in the household, this amount is raised by 25% to DKK 52 725.

Regardless of the benefit calculated in this way households must always pay at least DKK 24 000 out of the payable rent.

A minimum triviality limit is applied under which no benefit is paid. This amount is DKK 3 096.

Walkthrough the calculations of “boligyldelse”

For all households benefits is calculated as 75% of the rent. The rent is always added DKK 6 500 before calculating the initial benefits. The income deduction is done by 22.5% of the household incomes beyond DKK 153 600. If there are 2 or more children in the household this threshold is raised by DKK 40 500 per child up to max DKK 275 100.

Households can receive benefits up till DKK 45 480. If there are more than three children in the household, this amount is always 25% higher. If pensioners are referred to specific housing due to specific needs, there is no limit to this amount.

Regardless of the benefit calculated in this way households must always pay at least DKK 16 200 out of the payable rent and at least 11% of the household income.

5.3 Tax treatment of benefit and interaction with other benefits

All housing benefits are non-taxable.

5.4 Treatment of particular groups

There are no housing benefits exclusively for young people, older workers or others. These groups are entitled to rent subsidy on the same terms as other applicants, with no regards to age. Income, capital, rent, size of the apartment and number of children (if any) are the only factors which are taken into account when measuring out the rent subsidy.

Physically handicapped persons fall under the same rules. However, there are favourable adjustments in some rates and percentage rules, meaning that larger housing and higher rent is subsidised.

6. Family benefits

6.1 Conditions for receipt

Children below the age of 18 qualify the family for child and youth allowance. Prior to 2011 this benefit scheme was called family allowance. The allowance provided is age dependent. As of January 1st 2011, for children aged 0 to 14 the allowance is given in accordance with the child allowance scheme, which contains three subgroups (children aged 0-2, 3-6, and 7-14). For children aged 15 to 17 the allowance is given in accordance with the youth allowance scheme.

Under certain conditions the entitlement to child- and youth allowance can lapse. This is the case, for instance, if the child does not follow a specified education plan and therefore is neither studying nor working.

As a main rule the recipient of the allowance is the mother.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Age group	Quarterly amount (DKK) for each child
0 – 2	4 470
3 – 6	3 537
7 – 14	2 784
15 – 17	2 784

For children aged 0 to 14 the allowance is paid out in quarterly amounts, while for children aged 15-17 the amount is paid out in monthly rates of DKK 928.

The benefit has from 2014 been made income dependant with the effect that the benefit amount is reduced with 2 percent of income above a fixed ceiling which in 2016 amounted to DKK 732 900.

6.2.1.1 Irregular additional payments

6.2.2 Income and earnings disregards

Child and youth allowance is not subject to any means test. However, the benefit amount is reduced with 2 percent of income above a fixed ceiling, which in 2016 amounted to DKK 732 900.¹

6.3 Tax treatment of benefit and interaction with other benefits

Family benefits are not taxable.

¹ Equals an income of DKK 796.600 kr. before labour market contribution.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable

Lone parents receive normal family benefits, but also qualify for extra child benefit of DKK 5 432 per year (independent of the number of children) plus DKK 5 536 as ordinary child benefit per child aged 0-17.

Parents with multiple births receive DKK 0 for the first child and DKK 8 956 for the following child from 0-6 years of age.

Orphan's supplement: Full orphans receive DKK 31 368 a year; half-orphans receive DKK 15 684. The supplement is payable to children who have lost one or both parents, when paternity cannot be determined, when the mother is a single woman following artificial insemination and when the child has been adopted by a single person.

Children of pensioners supplement: Children of pensioners receive DKK 13 884 a year per child (one pensioner parent) or DKK 15 684 a year per child, if both parents are pensioners, plus DKK 5 432 per year per child. The supplement is paid quarterly and is means tested against the income of the parents (only the large supplements of 13 884 and 15 684). The total amount of received special child allowance is reduced by 3% of the total income (wage income + capital income) that exceeds the income level where pensions supplement lapses. In the event where a family receives several special child allowances the reduction is shared equally among these.

Adoption grant: For the adoption of a foreign child, a single lump sum of DKK 51 583.

Students' child benefit: A total of up to DKK 7 132 is under certain conditions payable a year for each parent who is studying. The supplement is paid quarterly and is depending of the income of the parents.

Supplementary child benefit in trainee or school practice: Family breadwinners can in certain periods of training or education receive a supplementary child benefit of 55 percent of the difference between his or her trainee or school practice allowance (incl. any other income) and the state education grant with a breadwinner allowance. The supplementary child benefit will lift their total income to a level equivalent to the comparable state education grant with a breadwinner allowance.

7. Childcare for pre-school children

The fraction of children in childcare (by age and type of childcare) is shown in the table below (2011).

Age	Family day care	Day-care institutions	Afterschool centers	All
0	9,86%	8,9%	0,0%	18,7%
1-2	36,1%	54,8%	0,1%	91,0%
3-5	0,2%	90,6%	6,6%	97,4%

Note: Children aged 3-5 can attend afterschool centers, without having started compulsory schooling.

Compulsory schooling starts the year the child turns 6 years.

7.1 Out-of-pocket childcare fees paid by parents

The average fee paid per year by parents for full time day-care in 2013 is shown in the table below. Parents with low incomes pay less (see section 7.2) and there is also a price-reduction if the parent(s) have more than one child in day-care. In the average fee paid for a child in day-care institutions the price includes lunch, even if the parent(s) pay this rate separate. In family day-care lunch is always included in the fee.

Age	Day-care institution	Family day-care
0-2	32.980	28.284
3-5	19.095	25.704

*Childcare fees are not tax deductible

Fees are not taken into account when determining entitlement to benefits such as social assistance, but the fee you pay depend on your income, see section 7.2.

7.2 Child-care benefits

7.2.1 Conditions for receipt

Subsidised day-care is available to all households with young children in day-care.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Parents pay a maximum of 25% of the budgeted gross operating expenditure for day-care services for children from 26 weeks to age six. The parents of a child are from July 1st 2006 guaranteed day-care when the child is 26 weeks until school age.

There is no charge for day-care if the personal income [gross income net of general social security contributions] is below DKK 170.101. From DKK 170.101 to DKK 173.869 the payment is 5% of the full rate. From that income level, the payment is linearly increased until the full price is paid at a personal income of DKK 528.200, i.e. the payment is increased by 1 percentage point for every income increment of DKK 3.768. There are special discount rates for single-parents: the scale for calculating the payment in per cent of the full rate for financially aided place subsidy increases with DKK 59.429 for each level of income.

There are special discount rates for siblings: if a family has more than one child in day care, the full price is charged for the child in the most expensive day care facility and half the price is charged for all the remaining children in day care. The discount for siblings is calculated subsequently.

7.2.2.2 Income and earnings disregards

See above

7.2.3 *Tax treatment of benefit and interaction with other benefits*

The benefit is not taxable.

7.2.4 *Treatment of particular groups*

Parents of children with special social problems can have a supplemental subsidy in addition to the above-mentioned subsidy (see section 7.2.1).

8. Employment-conditional benefits

There are no benefits targeted on people in work.

9. Lone-parent benefits

Lone parents receive normal family benefits (section 6.2.1) but also qualify for additional payments of DKK 5 536 per year (independent of the number of children) plus DKK 5 432 per child aged 0-17 (section 6.4.3).

In addition, for each child, a lone parent widow or widower can receive a special child allowance, (orphan's supplement) amounting to DKK 15 684 a year. Should the child be an orphan the supplement doubles.

There is a state transfer of DKK 15 684 per year for each dependent child in case an 'absent parent' does not contribute (this amount) to the family (alimony). The state advances the money and then demands the absent parent to pay it in full or in part. This transfer is included in the calculations for single parents.

The alimony payment consists of a basic amount which is DKK 13 884 / year and a supplement which is DKK 1 800 /year (2016 numbers). Altogether, for each child the alimony payment is DKK 15 684 /year.

Every year a set of guidelines are published, which suggest the size of income that leads to a raise in the alimony payment. It is important to emphasise that it is only a recommendation, not a fixed rule.

According to the guidelines, the alimony payment is raised with 100% of the basic amount, when an absent parent with one child earns more than DKK 480 000 /year. This income limitation is raised according to the number of children of the absent parent.

The percentage of the basic amount, which is added, is raised according to the income of the absent parent, up to 300 %.

The table below shows the actual suggested approximately income limits (2016).

Alimony payment +	1 child	2 children	3 children	4 children	5 children
	Approximately income limits (DKK)				
100 %	480.000	540.000	610.000	710.000	840.000
200 %	700.000	800.000	900.000	1.100.000	1.200.000
300 %	1.200.000	1.500.000	1.700.000	1.900.000	2.100.000

9.1 Conditions for receipt

All parents who in reality are lone-parents are in titled to the benefit.

9.2 *Calculation of benefit amount*

The benefit is not affected by parent income.

9.3 *Tax treatment of benefit and interaction with other benefits*

The benefit is not taxable.

9.4 *Benefit duration*

As long as the parent in reality is alone, they are entitled to the benefit.

11. Tax system

11.1 Income tax

11.1.1 Tax allowances and credits

11.1.1.1 Standard allowances

If a wage or salary earner has expenses related to earning his income (e.g. transport, trade union membership dues, unemployment premiums) these expenses are fully deductible against taxable income.

The tax credit scheme allows the taxpayer to deduct 8.30 per cent of earned income to a maximum of DKK 28 000 in order to calculate taxable income. Single parents get an extra employment allowance of 5.60 per cent in 2016 with a maximum allowance of DKK 18 800. The effective value of the credit is equal to the municipality tax (24.91%) plus the 3.0% health care tax rate that is paid to the state (27.91% on average) multiplied by the value of the deduction.

11.1.1.2 Standard tax credits

Each person is granted a personal allowance, which is converted into a non-refundable tax credit by applying the marginal tax rate of the first bracket of the income tax schedule. For a person 18 years of age and older the tax credit amounts to:

For central government income tax	9.08 per cent of DKK 44 000 = DKK 3 995
For central government health tax	3.0 per cent of DKK 44 000 = DKK 1 320
For local government income tax	24.91 per cent of DKK 44 000 = DKK 10 960

Special personal allowance for an individual younger than 18 years: DKK 33 000.

If a married person cannot utilise the personal allowance, the unutilised part is transferred to the spouse.

Individuals older than 18 years receive a ‘green check’ of DKK 950; this amount is increased with DKK 220 per child for up to two children. Only one partner in a married couple receives the increased ‘green check’ for children. The ‘green check’ is nominally fixed and is quickly phased out at a rate of 7.5 per cent for income above DKK 379 900. If the yearly income of the individuals is lower than DKK 222 000 the individuals receive an ‘additional green check’ of DKK 280.

11.1.2 Income tax schedule

Low bracket tax to the central government is assessed on the aggregate of personal income and positive net capital income at the rate of 9.08 %.

From 2010 and onwards the medium tax bracket was removed.

Top bracket tax to the central government is assessed on the excess of DKK 467 300 of the aggregate of personal income and positive net capital income at the rate of 15 per cent. If a married individual cannot utilise the total allowance of DKK 467 300, the unutilised part is not transferred to the spouse.

If the marginal tax rate including local tax but excluding church tax exceeds 51.95 per cent, the top bracket tax rate is reduced by the difference between the marginal tax rate and 51.95 per cent.

Central government levies an additional health care tax of 3%. The tax base is taxable income.

Individuals also pay an 8% Labour Market Contribution (*Arbejdsmarkedsbidrag* in Danish), levied on the gross wage or other income from work before the deduction of any allowance. Before 2008, the revenue was earmarked for certain social security expenditures through the Labour market Fund, but this system was abolished from 2008, and the tax enters the budget in the same way as any other income taxes. From 2011 the last links regarding social security of the tax were removed making all taxpayers working in Denmark pay the labour market contribution. The labour market contribution is thus treated as a PIT.

11.1.3 State and local income taxes

Local income taxes are levied by the municipalities (and the church). They are flat-rate taxes levied by the local authorities (the rate varies by jurisdiction).

The tax base is taxable income. Tax credit varies with tax rates. The average amount is given below:

- Lowest rate: 22.5 per cent
- Highest rate: 27.8 per cent
- Average rate: 24.91 per cent

The average rate is used in this study. It is applied to the tax base less personal allowances.

11.2 Treatment of family income

The tax unit is the individual. Spouses are taxed separately, but the tax liability of a married individual may depend on the spouse's income.

11.3 Social security contributions

11.3.1 Employees' contributions

Employees make a fixed contribution of DKK 11 290 for unemployment insurance. From 1999 onwards, the contribution for unemployment insurance is split into two: one part consists of the contribution for unemployment insurance (DKK 4 008) while the other part consists of a voluntary contribution to an early retirement scheme (DKK 5 856). In addition an administration fee of DKK 1 426 on average is added.

Contributions to the unemployment funds are not mandatory. Nevertheless, these payments have up until the implementation of ESA 2010 and the major revision of the Danish national accounts in the autumn 2014 been defined as social security contributions and classified as taxes in the Danish national accounts because there is no direct link between what members pay to the schemes and what they receive and the funds are subsidized by the state. The contributions to the unemployment funds are no longer classified as taxes in the Danish national accounts.

In addition, there is a compulsory fixed contribution to a general Labour Market Supplementary Pension Scheme of DKK 1 136 for workers who work at least 117 hours per month (for workers who work less than 117 hours but not less than 78 hours, the rate is DKK 757; for workers who work less than 78 hours but not less than 39 hours, the rate is DKK 379); their employer makes a corresponding contribution that is double this amount. Under this scheme, each employee has a plan and it should be noted that the contribution that is ascribed to this plan is determined by the level of employment and does not necessarily relate to the actual amount described above. The employee contribution of DKK 1 136 is modelled as a standard tax relief from the personal income tax. The employee and employer contribution is paid to a

privately-managed pension scheme, these contributions are not considered to be taxes but rather as non-tax compulsory payments.

11.3.2 Employers' contributions

The employer contributes to a *general* Labour Market Supplementary Pension scheme, which for a full-time employee corresponds to a fixed amount of DKK 2 272 (twice the fixed amount of DKK 1 136 mentioned above). It is compulsory for the employer to contribute to Employers' Reimbursement System (DKK 2 775), industrial injury tax (DKK 132) and Employees' Guarantee Fund (DKK 320).

Also, all private sector employers contribute to Financing Contribution (DKK 614) and barsel.dk (DKK 750). Both of the payments are paid to privately managed funds. The Financing Contribution covers part of the Danish state's expenses to ATP-contributions as well as expenses to Employees' Guarantee Fund for the unemployed. Barsel.dk is a statutory scheme covering the part of the private sector labour market that is not covered by other approved maternity/paternity compensation schemes. Those contributions are considered as non-tax compulsory payments.

12. Part-time insurance

12.1 Special benefit rules for part-time insurance

The general condition is membership of an insurance fund for the last year. After 34 weeks of full-time work within the last three years, the employee is entitled to benefits immediately on becoming unemployed. The maximum unemployment benefit is reduced to two-thirds.

12.2 Special tax and social security contribution rules for part-time insurance

The DKK 1 136 fixed amount supplementary pension contributions are paid in proportion to the number of hours worked per week. Regarding the part-time employees the fixed amount paid is DKK 757 for employees working from 78 and up to 117 hours per month, DKK 379 for employees working from 39 and up to 78 hours per month and DKK 0 for employees working less than 39 hours per month. The corresponding supplementary pension contributions paid by employer are twice the amount paid by employees.

The 8 per cent Labour Market Contribution (*Arbejdsmarkedsbidrag*) is proportional to earned income – and is only paid on earned income.

If the employee is insured part-time, s/he pays two thirds of the unemployment and early retirement insurance contributions. The individual employee decides how much s/he wants to be insured – full-time or part-time. The same contribution is paid for everyone - for employed, unemployed, part-time employed and for those who receive benefits and work part-time.

The fixed amount paid to the *general* Supplementary Pension Scheme varies with the number of hours worked. If the employee only works part-time and for the remaining hours receives benefits, or does not work and receives benefits, s/he also pays a fixed amount of the benefits to the *general* Supplementary Pension Scheme. Typically this amount is DKK 1.28 for every hour s/he receives the benefit based on a working week of 37 hours. In the model calculations we assume that the same amount applies to recipients of Social Assistance and Unemployment Benefits.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

13. Policy developments

13.1 Policy changes introduced: 2nd July 2015 – 1st July 2016

The principle of gradually eligibility for family benefits

By Act no. 999/30th of August 2015 refugees are equated with other foreigners in the case of being gradually eligible for the full child and youth allowance and child benefits. The Act came into force on 1st of September 2015. The principle of gradually eligibility means that the eligibility to full allowance/benefit is conditioned by minimum 2 years of residence or work in Denmark in the last 10 years prior to the related period of payment.

The general principle of gradually eligibility for the full child and youth allowance and child benefits was introduced by Act no. 1609/22nd of December 2010 with effect on 1st of January 2012. Refugees were by Act no. 1398/23rd of December 2012 excluded from the principle of gradually eligibility. Since 1st of September 2015 refugees are once again subject to principle of gradually eligibility for the full child and youth allowance and child benefits.

13.2 Future policy changes announced since 1st July 2016

The cap on social assistance and housing allowances and the 225 hour work requirement

By Act. no. 296/22th of March 2016 as part of the Jobreform I the new rules of a cap on social assistance and housing allowances together with the 225 hour work requirement will be introduced.

The new rules mean that for all recipients of social assistance there is a cap on the total amount of housing supplement (*særlig støtte*) and housing benefit (*boligstøtte*) that the recipient is entitled to receive. Recipients of social assistance who live in certain special housing due to disability are exempted from the cap.

To secure their availability to the labour market recipients of social assistance must fulfil a 225 hour work requirement (*225-timersreglen*), meaning that they will have to work 225 hours a year to be entitled to full social assistance. Recipients of social assistance who momentarily are not able to work are exempted.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.